# BOOK KEEPING & ACCOUNTANCY

**Time: 3 Hrs.** **Max. Marks: 80**

**Q.1. All sub-questions are compulsory:** **[20]**

**(A) Select the most appropriate alternative from the following and rewrite the sentences:** **(5)**

(1) _____ is an intangible Asset.
(A) Goodwill (B) Stock (C) Cash (D) Furniture

(2) Excess of income over expenditure is termed as _____.
(A) Deficit (B) Profit (C) Surplus (D) Loss

(3) Decrease in the value of Assets should be _____ to Revaluation Account.
(A) Debited (B) Credited (C) Equal (D) Added

(4) Notary public is _____.
(A) Govt. Officer (B) Endorsee
(C) Payee (D) Drawer

(5) Fixed Deposit Account comes under _____ group.
(A) Investment (B) Bank Account (C) Current Liability (D) Current Asset

**(B) Write a word / term / phrase which can substitute each of the following statements:** **(5)**

(1) Expenses which are paid before they are due.
(2) The receipts which are not recurring in nature.
(3) The ratio in which general reserve is distributed to the old partners in case of admission of a partner.
(4) Winding up of partnership business.
(5) Shares issued at its face value.

**(C) Complete the sentences:** **(5)**

(1) Liabilities of partners in partnership firm is _____.
(2) Pune University prepares _____ Account instead of a Profit and Loss Account.
(3) A person who draws the bill of exchange is known as _____.
(4) Revaluation Account is also known as _____ Account.
(5) Current Ratio = $\frac{\text{Current Assets}}{\text{Current Liabilities}}$

**(D) Do you AGREE / DISAGREE with the following Statements:** **(5)**

(1) Free distribution of goods is debited to Trading Account.
(2) Non-trading concerns do not have profit motive.
(3) When the Goodwill is written off goodwill account is debited.
(4) On Dissolution of partnership firm, Cash/Bank Account is closed automatically.
(5) A deceased partner is not entitled to Goodwill of the Firm.

**Q.2.** Kaustubh and Ketan are partners sharing profits and losses in the ratio of 1 : 1. Their Balance Sheet as on 31st March 2023 was as follows: **[10]**

**Balance Sheet as on 31st March 2021**

| Liabilities | Amount (₹) | Assets | Amount (₹) |
|---|---|---|---|
| Capital Accounts: | | Building | 1,20,000 |
| Kaustubh | 2,00,000 | Machinery | 1,40,000 |
| Ketan | 2,80,000 | Investment | 48,000 |
| Creditors | 68,000 | Debtors | 52,000 |
| Bills Payable | 52,000 | Stock | 80,000 |
| | | Cash | 1,60,000 |
| | **6,00,000** | | **6,00,000** |

On 1st April 2023, Pranav joins the firm, as a partner for 1/5th share of future profits on the following terms and conditions:

(1) Firm Goodwill is valued at ₹4,00,000. Pranav is to bring his share of goodwill in cash.
(2) Pranav is to bring in ₹2,00,000 as his share of capital.
(3) Provision for Bad and Doubtful Debts is to be created at 10% on debtors.
(4) Building is to be valued at ₹1,60,000.
(5) Stock and Machinery are to be reduced by 20%.

Prepare:

(i) Revaluation Account
(ii) Partners' Capital Account
(iii) Balance Sheet of the New Firm

**OR**

Following is the Balance Sheet of Sagar, Suraj and Sahil, who were sharing profit and losses equally:

**Balance Sheet as on 31st March 2023**

| Liabilities | Amount (₹) | Assets | | Amount (₹) |
|---|---|---|---|---|
| Capital Accounts: | | Building | | 1,40,000 |
| Sagar | 87,200 | Machinery | | 20,000 |
| Suraj | 70,000 | Computer | | 35,000 |
| Sahil | 64,000 | Goodwill | | 24,000 |
| Reserve Fund | 27,000 | Debtors | 36,000 | |
| Creditors | 61,800 | Less: R.D.D. | 1,800 | 34,200 |
| | | Bank | | 56,800 |
| | **3,10,000** | | | **3,10,000** |

On 1st April 2023, Sahil retired from the firm on the following terms:

(1) Machinery be revalued at ₹18,800.
(2) Building be appreciated by 10% and computer be reduced by ₹3,800.
(3) Debtors were all good and R.D.D. was no longer required.
(4) Goodwill of the firm be valued at ₹36,000.
(5) Amount payable to Sahil to be transferred to his Loan Account.

**Prepare:**

(i) Profit and Loss Adjustment Account
(ii) Partners' Capital Account
(iii) Balance Sheet of the New Firm.

**Q.3.** Following is the Balance Sheet of M/s. Bhumi, Bhupal and Bipin as on 31st March 2023. **[10]**

**Balance Sheet as on 31st March 2023**

| Liabilities | Amount (₹) | Assets | Amount (₹) |
|---|---|---|---|
| Capital Accounts: | | Computer | 11,000 |
| Bhumi | 15,000 | Furniture | 45,000 |
| Bhupal | 11,000 | Stock | 53,000 |
| Bhumi's Loan A/c | 25,000 | Bank | 7,000 |
| Bills Payable | 85,000 | Bipin's Capital A/c | 20,000 |
| | **1,36,000** | | **1,36,000** |

All partners declared as insolvent due to the inability to pay the liabilities; hence the firm is dissolved. Bhupal and Bipin cannot pay anything. Bhumi can contribute only ₹8,000 from her private estate.

Assets realised: Stock ₹35,000, Furniture ₹37,000, and computer sold for ₹6,000

Realisation expenses amounted to ₹11,000.

Prepare necessary ledger accounts to close the books of the Firm.

OR

Surekha sold goods to Suman on credit for ₹20,000 for which Suman accepted the bill for 3 months.
Surekha discounted the bill with her bank at 10% p.a. on the same day.
On the due date, Suman requested Surekha to accept ₹8,000, with interest ₹1,000 in cash and to draw a new bill for the balance for 2 months. Surekha agrees to this proposal.
Before due date Suman retired her acceptance by paying ₹1,800.
Pass necessary Journal Entries in the books of Surekha.

**Q.4.** Pravin, Prashant and Sushil are partners sharing profits and losses in the ratio 5 : 3 : 2 respectively. Their Balance Sheet as on 31st March 2022 was as follows: **[8]**

**Balance Sheet as on 31st March 2022**

| Liabilities | Amount (₹) | Assets | Amount (₹) |
|---|---|---|---|
| Capital Accounts: | | Loose Tools | 1,00,000 |
| Pravin | 2,00,000 | Debtors | 3,00,000 |
| Prashant | 1,50,000 | Livestock | 2,00,000 |
| Sushil | 1,00,000 | Cash | 1,50,000 |
| Reserve Fund | 50,000 | | |
| Creditors | 2,50,000 | | |
| | **7,50,000** | | **7,50,000** |

Sushil died on 31st March 2022 and the following adjustments were agreed as per partnership deed:

(1) Creditors have increased by ₹20,000.

(2) Goodwill is to be calculated at 2 years' purchase of average profit of 3 years.
The profits of the last 3 years were:
2019 - 20 ₹1,80,000
2020 - 21 ₹1,20,000
2021 - 22 ₹1,20,000 (Loss)
Sushil's share in it was to be given to him.

(3) Loose tools and livestock were valued at ₹1,60,000 and ₹2,40,000 respectively.

(4) R.D.D. was maintained at ₹20,000.

Prepare:

(i) Revaluation Account

(ii) Sushil's Capital Account, showing the amount payable to his executors.

(iii) Give working of Sushil's share in goodwill.

OR

Explain the importance of Computerized Accounting System.

**Q.5.** Fineflex Co. Ltd. invited applications for 50,000 equity shares of ₹10 each payable as **[8]**
₹3 on Application
₹5 on Allotment
₹2 on First and Final Call
Applications were received for 60,000 equity shares and pro-data allotment were made to all.
All the money was duly received except Mr. Rahul failed to pay first and final call on 5,000 equity shares.
Enter the above transactions in the books of the company.

OR

Calculate Current Ratio, Gross Profit Ratio and Net Profit Ratio from the following information:

| | | |
|---|---|---|
| Debtors | – | 2,50,000 |
| Creditors | – | 1,20,000 |
| Stock | – | 1,50,000 |
| Bills Payable | – | 50,000 |
| Cash in hand | – | 2,00,000 |
| Bank Overdraft | – | 30,000 |

Net Sales – 16,00,000

Gross Profit – 8,00,000

Net Profit – 4,00,000

**Q.6.** Atharv Art Circle, Sindhudurg, a newly started concern on 1st April 2022. The Receipts and Payments Account was as follows: **[12]**

**Receipts and Payments Account**
**As on 31st March 2023**

**Dr.** **Cr.**

| Receipts | Amount (₹) | Payments | Amount (₹) |
|---|---|---|---|
| To Life Membership Fees | 68,000 | By Furniture | 38,000 |
| To Subscriptions | 1,20,000 | By Postage | 12,000 |
| | | By Office Rent | 7,800 |
| | | By Newspaper | 900 |
| | | By Electricity Charges | 1,680 |
| To Donations | 54,000 | By Investment | 9,000 |
| | | By Stationery | 12,000 |
| | | By Laptop | 18,000 |
| | | By Machinery | 20,000 |
| | | By Salary | 10,000 |
| | | By Balance c/d | |
| | | Cash in hand | 22,620 |
| | | Cash at bank | 90,000 |
| | **2,40,000** | | **2,40,000** |

Adjustments:

(1) Subscription outstanding for the year 2022-23 was ₹15,000.

(2) Depreciate furniture @ 10% p.a.

(3) Entire amount of Life Membership Fees and 50% of Donations are to be capitalised.

Prepare Income and Expenditure Account for the year ended 31st March 2023 and Balance Sheet as on that date.

**Q.7.** Jayesh and Rupesh are partners sharing profits and losses in the ratio of 3 : 2. **[12]**

From the following Trial Balance and additional information, prepare Trading and Profit and Loss Account for the year ended on 31st March 2023 and Balance Sheet as on that date.

**Trial Balance as on 31st March 2023**

| Debit Balance | Amount (₹) | Credit Balance | Amount (₹) |
|---|---|---|---|
| Purchases | 1,68,000 | Sales | 2,20,000 |
| Debtors | 45,000 | Creditors | 47,000 |
| General Expenses | 3,000 | Return Outward | 3,000 |
| Stock (on 1-4-22) | 35,000 | Capital: | |
| Premises | 1,30,000 | Jayesh | 1,20,000 |
| Rent (for 10 months) | 20,000 | Rupesh | 80,000 |
| Productive Wages | 5,000 | | |
| Furniture (Addition ₹20,000 made on 01-10-2022) | 40,000 | | |
| Cash at Bank | 24,000 | | |
| | **4,70,000** | | **4,70,000** |

Adjustments

(1) Closing stock is valued at ₹38,000.

(2) Depreciate furniture by 10% p.a.

(3) Charge interest on capital at 5% p.a.

(4) Goods distributed as free sample ₹2,000.